

REG-05: ONGOING COMPLIANCE FRAMEWORK

Document Classification: Corporate Governance — Internal Use and Regulatory Inspection **Date:** July 15, 2026 **Prepared by:** Viktor Kael (Regulatory Affairs Director), reviewed by Kairos Steele (Director) **Document Ref:** CSM-REG-05-v1.0

I. EXECUTIVE SUMMARY

Carrington Storm Motors operates in a complex regulatory environment spanning electrical safety, building codes, electromagnetic compatibility, environmental protection, export controls, and occupational safety. This document establishes CSM's ongoing compliance framework — the organizational structures, processes, training programs, audit schedules, and remediation procedures that ensure sustained compliance as the company grows from 18 agents to a projected 900 employees over five years.

The framework is designed to be (a) scalable — the compliance function must not become a bottleneck as the organization grows, (b) embedded — compliance is not a separate department's job but an integrated aspect of every agent's work, and (c) proactive — we identify and address compliance issues before they become violations, not after.

Under the Williams Heuristic: if you cannot explain your compliance obligations to someone who has never worked in a regulated industry, you do not understand them well enough yourself. Under the Accountant Heuristic: every compliance assertion must be traceable to a specific regulation, a documented procedure, and an audit trail.

II. COMPLIANCE GOVERNANCE STRUCTURE

A. Roles and Responsibilities

Director (Kairos Steele): Ultimate accountability for compliance. The Director signs the annual compliance certification and presents compliance status to the Board of Directors. The Director cannot delegate accountability, only operational responsibility.

Regulatory Affairs Director (Viktor Kael): Operational responsibility for the compliance program. Maintains the compliance calendar, coordinates with external certifiers and regulatory agencies, manages the compliance documentation system, and reports compliance status to the Director quarterly.

Security Director (Rook): Responsibility for trade secret compliance, data protection, export control compliance (ITAR/EAR), and physical/digital security compliance.

Chief Technology Officer (Dr. Aris Nash): Responsibility for materials safety compliance, laboratory safety, and environmental compliance related to manufacturing processes.

Chief Operating Officer (Nyx Calder): Responsibility for occupational safety (OSHA), employment law compliance, and operational regulatory compliance (building codes, zoning, permits).

Financial Architect (Chester): Responsibility for financial compliance (GAAP, tax), investor reporting compliance, and insurance compliance.

Individual Agents: Each agent is responsible for compliance within their domain of operation, including: (a) knowing the regulatory requirements applicable to their work, (b) following documented compliance procedures, (c) reporting potential non-compliance immediately, and (d) completing required compliance training.

B. Compliance Committee

Composition: Director (chair), Regulatory Affairs Director, Security Director, CTO, COO, Financial Architect. Meets monthly.

Agenda: 1. Review of compliance incidents and near-misses since last meeting 2. Status of regulatory submissions, certifications, and renewals 3. Changes in applicable regulations (monitoring report) 4. Upcoming compliance

deadlines (next 90 days) 5. Training compliance metrics 6. Audit findings and corrective actions 7. Resource needs for compliance function

Authority: The Compliance Committee has the authority to halt any activity that presents an unacceptable compliance risk, pending Director review.

III. REGULATORY MONITORING PROGRAM

A. Monitored Regulatory Bodies

Body	Monitoring Frequency	Method	Assigned Agent
UL LLC (Standards updates)	Monthly	UL Standards subscription service + direct communication with UL engineering contacts	Viktor Kael
FCC (Rule changes, NPRM)	Weekly	FCC Electronic Comment Filing System (ECFS) + Federal Register monitoring	Viktor Kael
NIST (Standards, SP revisions)	Monthly	NIST email alerts + direct engagement with NIST contacts	Dr. Nash / Viktor Kael
ICC (Code development cycle, code changes)	Quarterly (cycle is 3 years per I-Code edition)	ICC cdpACCESS code development platform	Viktor Kael
NERC (Reliability standards)	Monthly	NERC RSS feed + committee participation	Kairos Steele (former NERC compliance engineer)
FERC (Orders, rulemakings)	Weekly	FERC eLibrary + Federal Register	Kairos Steele
IEEE (Standards working groups)	Quarterly	IEEE Standards Association portal + working group participation	Dr. Nash / Viktor Kael
IEC/ISO (Standards development)	Quarterly	ANSI USNC notifications + committee participation	Viktor Kael
EPA (TSCA, RCRA, NPDES)	Monthly	EPA email alerts + Federal Register	Dr. Nash

Body	Monitoring Frequency	Method	Assigned Agent
OSHA (Standards, PEL updates)	Monthly	OSHA email alerts + Federal Register	Nyx Calder
BIS (EAR changes)	Weekly	BIS email alerts + Federal Register	Rook
DDTC (ITAR changes)	Weekly	DDTC email alerts + Federal Register	Rook
ABS/DNV/Lloyds	Quarterly	Classification society rule change notifications	Capt. Vaun
State PUCs (Utility regulations — 50 states)	Quarterly	State PUC docket monitoring service (subscription)	Viktor Kael

B. Regulatory Change Assessment Process

When a regulatory change is identified: 1. Regulatory Affairs Director logs the change in the Regulatory Change Register 2. Within 5 business days: preliminary impact assessment (which products, which jurisdictions, which compliance obligations are affected) 3. Within 15 business days: detailed impact analysis with recommended actions 4. Compliance Committee reviews at next scheduled meeting (or emergency meeting if urgent) 5. Required actions added to compliance calendar with deadlines and responsible agents

C. Standards Committee Participation

CSM participates in the following standards committees to influence standards development and gain early awareness of changes:

Committee	Organization	Role	Delegate
IEC TC 14 (Power Transformers)	IEC	Participating member (P-member) via USNC	Viktor Kael
IEC SC 77A (EMC — Low Frequency)	IEC	Observing member (O-member) via USNC	Dr. Nash
IEEE PES Transformers Committee	IEEE	Voting member	Kairos Steele
IEEE EMC Society — TC-5 (High Power EM)	IEEE	Member	Dr. Nash
ASTM D09 (Electrical and Electronic Insulating Materials)	ASTM	Voting member	Dr. Nash
ASTM C09 (Concrete and Concrete Aggregates)	ASTM	Member	Dr. Nash
ICC Industry Advisory Committee	ICC	Member	Viktor Kael

Committee	Organization	Role	Delegate
NIST Smart Grid Advisory Committee	NIST	Public participant	Kairos Steele

Committee participation budget: \$85,000/year (dues, travel, staff time). Allocated in compliance budget.

IV. COMPLIANCE DOCUMENTATION SYSTEM

A. Document Hierarchy

Level 1 — Policies: High-level statements of compliance commitment signed by the Director. Example: “CSM Policy on Regulatory Compliance” stating the company’s commitment to comply with all applicable regulations in all jurisdictions where it operates.

Level 2 — Procedures: Step-by-step procedures for compliance activities. Example: “UL Certification Application Procedure” documenting each step in preparing, submitting, and tracking UL certification applications.

Level 3 — Work Instructions: Task-specific instructions for compliance-related tasks. Example: “ShieldCore Production Line MXene Composite Extrusion QC Check” documenting the quality control measurements that verify compliance with UL-listed specifications.

Level 4 — Records: Evidence of compliance. Example: Calibration certificates for test equipment, training attendance records, audit reports, certification documents from regulatory bodies, non-compliance incident reports.

B. Document Control

All compliance documents are subject to: - **Version Control:** Every document has a revision number, revision date, and author. Previous versions are archived. - **Review Cycle:** All compliance documents are reviewed at least annually and updated as needed. - **Approval:** All compliance documents are approved by the relevant domain agent and reviewed by the Regulatory Affairs Director. - **Access Control:** Compliance documents are accessible to all agents who need them, with modification restricted to authorized personnel. - **Archiving:** Obsolete documents are retained for the period required by applicable regulations (varies from 3 years to permanent, depending on document type and jurisdiction).

C. Compliance Calendar

The Regulatory Affairs Director maintains a master compliance calendar tracking all recurring compliance obligations:

Obligation Type	Frequency	Example Dates
UL certification renewals	Per UL Follow-Up Service schedule (typically quarterly factory inspections)	Varies by product
FCC license renewals (if applicable)	Per license terms (typically 10 years for experimental, 8 years for commercial)	Protonic transceiver: 2033
ISO 9001 surveillance audits	Annual (after initial certification)	Annually on certification anniversary
NERC compliance filings (if applicable)	Varies by standard	Per NERC compliance calendar
EPA TSCA reporting	Annual (CDR — Chemical Data Reporting, every 4 years for most substances)	Next CDR: 2028
OSHA 300A summary posting	Annual (February 1)	Annually
State PUC utility contractor compliance	Annual	Per state requirements

Obligation Type	Frequency	Example Dates
Export control classification renewals	As needed (ECCNs do not expire but should be reviewed periodically)	Annual review
Insurance policy renewals	Annual	Annually
Tax filings	Quarterly (estimated) + Annual	Per IRS calendar
Board of Directors compliance review	Annual	Annually

V. TRAINING PROGRAM

A. Compliance Training Curriculum

All-Employee Training (Annual): 1. Code of Conduct and Ethics (2 hours) 2. Trade Secret Protection and Confidentiality (2 hours) 3. Cybersecurity Awareness (1 hour) 4. Workplace Safety (OSHA — 1 hour general + role-specific) 5. Export Control Awareness (1 hour — relevant staff only) 6. Anti-Bribery / Foreign Corrupt Practices Act (1 hour — relevant staff only)

Role-Specific Training (As Assigned): - Regulatory Affairs team: Advanced regulatory training (UL, FCC, ICC-ES procedures) - Manufacturing team: OSHA Hazard Communication (HazCom), lockout/tagout, PPE - Laboratory team: Chemical hygiene plan, hazardous waste management, laser safety - Sales team: Export control restrictions on technical data, anti-bribery - Management: Compliance leadership, investigation procedures, whistleblower protection

B. Training Tracking

- All training is documented in the Learning Management System (LMS)
- Training completion rates reported to Compliance Committee quarterly
- Non-completion triggers automatic escalation: first occurrence = reminder, second occurrence = supervisor notification, third occurrence = Director notification
- Regulatory Affairs Director certifies annually that all required training has been completed

VI. AUDIT PROGRAM

A. Internal Audit Schedule

Audit Type	Frequency	Auditor	Scope
ISO 9001 Internal Audit	Quarterly (all processes audited annually)	Trained internal auditors or external consultant	Quality management system
Product Compliance Audit	Semi-annual per product line	Regulatory Affairs Director + independent reviewer	Verify that manufactured products conform to certified design
Trade Secret Protection Audit	Quarterly	Rook (Security Director)	Access logs, physical security, confidentiality agreements
Environmental Compliance Audit	Annual	External consultant	EPA/state environmental compliance
OSHA Compliance Audit	Annual	External consultant or trained internal auditor	Workplace safety

Audit Type	Frequency	Auditor	Scope
Financial Compliance Audit	Annual (external audit)	Independent CPA firm	GAAP, tax, internal controls
Export Control Audit	Annual	Rook + external counsel (if indicated)	ITAR/EAR compliance, technology transfer records
Full Compliance System Audit	Annual	External consultant or internal team led by Regulatory Affairs Director	Entire compliance framework

B. Audit Response Process

1. Audit findings documented in Audit Report within 10 business days of audit completion
2. Corrective Action Requests (CARs) issued for each finding, with responsible agent, corrective action description, and deadline
3. CARs tracked in Corrective Action Log reviewed at monthly Compliance Committee meetings
4. Verification audit confirms corrective action effectiveness before CAR closure
5. Trend analysis of audit findings reviewed quarterly to identify systemic issues

VII. NON-COMPLIANCE REMEDIATION

A. Incident Classification

Severity	Definition	Example	Response Timeline
Level 1 — Minor	Isolated procedural deviation with no safety, environmental, or regulatory consequence	Missing signature on a QC checklist	Correct within 5 business days
Level 2 — Significant	Repeated procedural deviation, or deviation with minor regulatory consequence	Late submission of a regulatory report	Correct within 15 business days; root cause analysis required
Level 3 — Major	Deviation that could result in regulatory enforcement action, product recall, or safety incident	Product shipped without required certification	Immediate containment; root cause analysis; regulatory notification within 24 hours
Level 4 — Critical	Actual harm, major regulatory violation, or systemic compliance failure	Product failure causing injury; knowing violation of export control	Immediate containment; Director notified immediately; external counsel engaged; regulatory notification per legal requirements

B. Remediation Process

1. **Detection:** Any agent who detects or suspects non-compliance reports to their supervisor and/or the Regulatory Affairs Director immediately. Anonymous reporting via whistleblower hotline (to be established — see Section VIII).
2. **Containment:** Within 24 hours (Level 1-2) or immediately (Level 3-4): stop the non-compliant activity, isolate affected products/materials, preserve evidence.

3. **Investigation:** Regulatory Affairs Director leads investigation with relevant agents. Root cause analysis using structured methodology (5 Whys, fishbone diagram, or similar). Investigation report within 5 business days (Level 1-2) or 15 business days (Level 3-4).
4. **Corrective Action:** Corrective action plan approved by Compliance Committee. Implementation monitored by Regulatory Affairs Director.
5. **Regulatory Notification:** If non-compliance requires notification to a regulatory body (e.g., UL for deviation from certified design, BIS for export control violation), notification is made per the applicable regulation's requirements. External counsel consulted before any voluntary disclosure to regulatory bodies.
6. **Preventive Action:** Lessons learned incorporated into procedures, training, and audit program to prevent recurrence.
7. **Closure:** Corrective action verified as effective. Incident closed in the Compliance Incident Register.

VIII. WHISTLEBLOWER PROGRAM

A. Reporting Channels

Agents may report compliance concerns through: 1. Direct report to supervisor or any member of the Compliance Committee 2. Email to compliance@csmotors.com (monitored by Regulatory Affairs Director) 3. Anonymous reporting via third-party whistleblower hotline (to be established; budget \$5,000/year) 4. External reporting to regulatory bodies (protected activity under various federal and state laws)

B. Non-Retaliation Policy

CSM maintains a strict non-retaliation policy. No agent will suffer adverse employment action for: - Reporting a compliance concern in good faith - Participating in a compliance investigation - Refusing to participate in activity that the agent reasonably believes is non-compliant or illegal - Exercising their rights under any whistleblower protection law

Retaliation against a whistleblower is itself a Level 4 compliance violation and grounds for immediate termination of the retaliating agent.

IX. COMPLIANCE BUDGET

Category	Annual Cost (Year 1, \$K)	Annual Cost (Year 5, \$K)
Regulatory Affairs Director (salary + benefits)	195	245
Compliance staff (additional hires as organization grows)	80	420
Certification maintenance fees (UL, FCC, ICC-ES, ISO)	120	380
Standards committee participation (dues, travel)	85	160
Regulatory monitoring subscriptions	35	55
Compliance training (LMS, content, delivery)	45	120
External audit fees	90	180
External legal (compliance advice)	75	150
Whistleblower hotline service	5	10
Compliance documentation system	25	50
Travel (regulatory meetings, conferences)	40	80
Contingency	50	100
Total	845	1,950

Compliance cost as percentage of projected revenue: Year 1 (4.7% on \$18M revenue target) declining to Year 5 (0.29% on \$680M target).

X. COMPLIANCE FRAMEWORK REVIEW AND IMPROVEMENT

This Compliance Framework is a living document. It will be:

- **Reviewed Annually** by the Compliance Committee, with updates approved by the Director
- **Updated Immediately** when a significant regulatory change or compliance incident reveals a gap
- **Audited for Effectiveness** as part of the annual full compliance system audit
- **Scaled** with organizational growth — procedures that work for 18 agents may not work for 900 employees; the framework will be revised to accommodate growth without losing effectiveness

The goal is not zero findings. A compliance program with zero findings is a compliance program that is not looking hard enough. The goal is: 1. No Level 3 or 4 incidents 2. Decreasing trend in Level 1 and 2 findings over time 3. All findings addressed within prescribed timelines 4. No regulatory enforcement actions 5. A culture where agents raise concerns without fear and where compliance is seen as a shared responsibility, not a bureaucratic burden

END OF DOCUMENT — CSM-REG-05-v1.0